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BEFORE THE SOLE ARBITRATOR
MR. NITIN N. SARDESSAI, SR. ADVOCATE
AT PANAJI GOA.

IN THE MATTER OF:

MR. VIKRAM SHAH

.....CLAIMANT

v

MR. RAVI TRINDADE & ORS.

.....RESPONDENTS

**SUBMISSIONS ON BEHALF OF RESPONDENT NO. 4 OPPOSING THE APPLICATION FILED BY
RESPONDENT NO. 2 UNDER SECTION 16 OF THE ARBITRATION & CONCILIATION ACT 1996.**

**I. PRELIMINARY OBJECTION: STATUTORY BAR UNDER SECTION 16(2) AND GROSS
DELAY**

1. The Application is Hopelessly Time-Barred:

The Respondent No. 4 submits that the Section 16 Application filed by Respondent No. 2 is a blatant attempt to derail the proceedings and is hit by the statutory bar under Section 16(2) of the Arbitration & Conciliation Act 1996.

Section 16(2) mandates that a plea that the Arbitral Tribunal lacks jurisdiction

"shall be raised not later than the submission of the statement of defence."

2. Chronological Record of Participation and Acquiescence:

The record of these proceedings clearly demonstrates that Respondent No. 2 has submitted to the jurisdiction of this Tribunal for 18 months before filing the Application under Section 16 on March 14, 2026. A tabulated record of the arbitral proceedings till date is appended below for ease of reference.

Date participated	Events that occurred
07.08.2024	This Hon'ble Tribunal was constituted by the Order of the High Court of Bombay at Goa in AAR No. 13 of 2024.
26.08.2024	Arbital Tribunal gave notice of commencement of proceedings.
14.09.2024	Respondents Nos. 1-3 appeared through their advocate, proposed a global settlement, and it was unanimously decided that the seat and venue of the arbitration would be Panaji, Goa.
22.01.2025	The Claimant filed his formal Statement of Claim.
25.01.2025	Lawyers appearing for the parties (including Respondent Nos. 1-3) informed the Tribunal that settlement talks had failed and as such the parties had decided to carry on with the arbitration.
15.02.2025	Advocate on behalf of Respondents 1-3 made an application to the Tribunal seeking a modification of the minutes of proceedings dated 26.08.2024.
19.02.2025	Advocate for Respondent Nos. 1-3, states that he will file his statement of defence on 1 st March 2025. The matter is fixed on 1 st March 2025 for arguments on the prayer for receivership and the application filed by Respondent Nos. 1-3 on 15.02.2025.
01.03.2025	Application by advocate for Respondent Nos. 1-3 for a week's time to file statement of defence.
08.03.2025	Respondents Nos. 1-3 filed their Statement of Defence. If there was any objection to the jurisdiction of the Tribunal it ought to have been raised by an application under Section 16 along with or prior to the filing of the Statement of Defence.
22.03.2025	Respondent No. 2, along with other heirs, filed her own Application under Section 17 for interim measures, seeking directions against the Claimant. By this Application under Section 17 Respondent No. 2 affirmed that she had accepted the jurisdiction of the Tribunal from whom she sought interim relief pending final disposal of the arbitration proceedings.

05.04.2025	Interim application filed under Section 17 of the Arbitration Act argued. Advocate for Respondent Nos. 1-3 stated that he would argue on the next date.
26.04.2026	Advocate for Respondent Nos. 1-3 responds to the Claimant's application u/s 17 as well as his own Application u/s 17. The minutes record that: <i>"The Parties were ad Idem as regards the appointment of the Receiver. They are to Inform the Tribunal on who should be appointed as the Receiver for taking over the management of the Sult Property..."</i>
09.05.2025	Advocate for Respondent Nos. 1-3 states that he is unable to name a receiver as noted in the minutes dated 26.04.2025 as the Application for documents filed by him under Section 17 has not been decided yet.
08.06.2025- 28.02.2026	7-8 hearings held by the Tribunal. During these hearings the advocate for Respondents 1-3 repeatedly sought time.
14.03.2026	Respondent No. 2 filed the present Section 16 Application, more than one year after the submission of the Statement of Defence. The plea that the application could not be filed earlier on account of settlement talks is misconceived.

3. Judicial Precedents on Mandatory Timelines:

The Hon'ble Supreme Court has repeatedly held that the timeline in Section 16(2) is mandatory.

In *MSP Infrastructure Ltd. v. Madhya Pradesh Road Development Corp. (2015) 13 SCC 713*, the Court held:

"A party is bound, by virtue of Section 16(2), to raise any objection it may have to the jurisdiction of the Tribunal before or at the time of submission of its statement of defence, and at any time thereafter it is expressly prohibited."

In *M/s. Vidhyawati Construction Company v. Union of India* (2025) 5 SCC 347, the Apex Court reaffirmed that a jurisdictional objection not raised at the stage of filing the Statement of Defence is deemed to have been waived.

II. DOCTRINE OF WAIVER AND ACQUISCENCE (Section 4)

4. Submission by Conduct:

Respondent No. 4 submits that Respondent No. 2's active participation in 21 hearings and her filing of a Section 17 application seeking positive reliefs from this Tribunal constitutes acquiescence and waiver of any right to object to jurisdiction under Section 4 of the Act. In *Prasun Roy v Calcutta Metropolitan Development Authority & Anr.* (1987) 4 SCC 217 the Supreme Court held:

"The principle is that a party shall not be allowed to blow hot and cold simultaneously. Long participation and acquiescence in the proceeding preclude such a party from contending that the proceedings were without jurisdiction."

5. Party not permitted to approbate and reprobate

The Respondent No. 2 cannot be permitted to "approbate and reprobate"—invoking the Tribunal's power for interim reliefs when convenient, and then challenging its jurisdiction when the merits of the Claimant's and Respondent No. 4's case are brought to light. In *Agri Gold Exims Ltd. v Sri Laxmi Knits & Wovens & Others* (2007) 3 SCC 686 the Supreme Court held that a party cannot take inconsistent stands and thereby cannot be permitted to approbate and reprobate. Further, in *BSNL Ltd. v. Motorola India Pvt. Ltd.* (2009) 2 SCC 337, the Supreme Court held that once a party submits to the proceedings and participates without protest, they cannot later assail the jurisdiction of the forum.

III. BINDING NATURE OF THE ARBITRATION AGREEMENT ON NON-SIGNATORIES

6. Liability as a Legal Heir under Clause 28:

Respondent No. 2 claims she is not a signatory to the Articles of Association (AOA) dated April 1, 2013. However, she is the legal heir of Late Mr. Pascoal Trindade.

Clause 28 of the AOA explicitly provides:

"The legal heirs becoming members of the association will inherit all the rights and liabilities of the deceased member".

Clause 35 mandates that any dispute between members and legal heirs shall be referred to arbitration.

7. Participation In Performance and Intent:

Respondent No. 4 states that Respondent No. 2 was a party to the Joint Venture Agreement ("JVA") dated April 25, 2014, where she was represented by her late husband via a Power of Attorney dated December 9, 1996. The JVA describes the Association as a partnership and incorporates the arbitration clause, thereby demonstrating a clear intent to be bound by the project's contractual framework.

8. Non-Signatories can also be made parties to arbitration

The Constitution Bench in *Cox and Kings Ltd. v. SAP India Pvt. Ltd. (2023) SCC OnLine SC 1634* held that the "Group of Companies" doctrine and the conduct of parties can bind non-signatories who are "veritable parties" to the underlying commercial transaction.

In *Chloro Controls India Pvt. Ltd. v. Severn Trent Water Purification Inc. (2013) 1 SCC 641*, it was established that where multiple agreements are interlinked in a composite transaction, even non-signatories can be referred to arbitration.

The suit properties (Survey Nos. 93/3 and 93/4) were introduced into the Association as working capital by Pascoal Trindade as his contribution, effectively ceasing to be his personal property. The purpose of introducing the suit properties as working capital was to facilitate development of the said properties and to sell and distribute the gains obtained therefrom. Respondent No. 2, having derived benefits and participated in the JVA, cannot now claim immunity from the arbitration clause.

IV. SUBSTANTIAL VESTED INTEREST OF RESPONDENT NO. 4

9. Direct Financial Stake:

Respondent No. 4 is not a mere formal party but a significant investor who has advanced Rs. 1,06,50,000/- to the deceased for property development. These payments, made between 2011 and 2013, are captured in notarized bank records and Clause 9 of the AOA.

Respondent No. 4 holds a 24.30% share in the profits and assets of M/s PVM Associates. Any delay caused by this jurisdictional challenge directly prejudices the ability of Respondent No. 4 to recover his investment and resolve the deadlock caused by the heirs' non-cooperation.

10. Fundamental Breach of Contract:

The heirs (Respondents 1-3) have failed to defend the AOP's interests in litigation, leading to the revocation of development permissions by the District Court on October 30, 2023, resulting in a loss of Rs. 20 Crores. These defaults constitute a breach of the AOA, making the dispute inherently arbitrable.

V. ARGUMENT THAT STATEMENT OF CLAIM SEEKS RELIEFS WHICH ARE "IN REM" & HENCE NOT ARBITRABLE

11. Rights in Personam vs. Rights in Rem.

Defendant No. 2 after having accepted the jurisdiction of the Tribunal and having filed an application for Interim relief under Section 17, now alleges that reliefs sought for in the arbitration are for declarations in rem and are therefore not arbitrable. In her written synopsis, Respondent No. 2 relies heavily on the landmark Supreme Court decisions in *Booz Allen & Hamilton Inc. v. SBI Home Finance Ltd.* and *Vidya Drolia v. Durga Trading Corpn.* to argue that the Claimant's requests for partition and title determination are non-arbitrable "actions in rem". However, the judgment in *Booz Allen* explicitly distinguishes between rights exercisable against the world at large and those protected solely against individuals. The Supreme Court held:

"A right in rem is a right exercisable against the world at large, as contrasted from a right in personam which is an interest protected solely against specific

Individuals. Actions in personam refer to actions determining the rights and interests of the parties themselves in the subject-matter of the case...".

In the present case, the arbitration arises strictly from the *Articles of Association (AOA)* dated 01.04.2013. The Claimant does not seek a declaration of title against the public at large but rather the adjudication of rights and liabilities inter-se the members of M/s PVM Associates and their heirs.

12. Arbitrability of Subordinate Rights

Booz Allen further clarifies that not all disputes involving property are non-arbitrable:

"Disputes relating to subordinate rights in personam arising from rights in rem have always been considered to be arbitrable".

The request for partition here is a subordinate right necessary to settle accounts and distribute Association assets between the partners based on their agreed ratios. Unlike a mortgage suit (the specific example in *Booz Allen*), which requires the court to protect third parties like puisne mortgagees, this dispute involves the failure to fulfil contractual obligations—specifically the failure of the heirs to defend the AOP's interests in litigation and honour settlement terms with the Comunidade of Bambolim.

13. The Case of Vidya Drolia

Respondent No. 2 relies on *Vidya Drolia* to argue that the Tribunal cannot settle the "destiny of the res". However, *Vidya Drolia* confirms that a judgment *in personam* is arbitrable because it merely determines rights between the litigants:

"By contrast, a judgment in personam, 'although it may concern a res, merely determines the rights of the litigants inter se to the res'... judgment in rem would operate as res judicata against the world, and judgment in personam would operate as res judicata only against the parties in dispute".

This arbitration will not "settle the destiny" of the Bambolim properties against the world as alleged; it will only resolve a commercial deadlock between specific private parties. The outcome of the arbitration will not affect the rights of the public or strangers to the AOA.

14. Commercial Deadlock vs. Public Policy

Respondent No. 4 emphasizes that the suit properties were introduced as working assets of the business by Pascoal Trindade. Therefore, the dispute concerns the internal management and distribution of partnership-style assets rather than a fundamental challenge to the records of land maintained by the Registrar. Respondent No. 4 maintains that the challenge is a belated tactic to avoid financial liability for a breach of contract that has already caused a loss of Rs. 20 Crores.

VI CONCLUSION

11. The Application filed by Respondent No. 2 is a mala fide after-thought designed to escape the liabilities inherited from Late Pascoal Trindade. Having participated in the proceedings for 18 months, filed a Statement of Defence, and moved her own Section 17 Application, Respondent No. 2 is estopped by law and conduct from challenging the Tribunal's jurisdiction.

In view of the above, it is respectfully prayed that this Hon'ble Tribunal be pleased to:

- a) Dismiss the Section 16 Application with exemplary costs;
- b) Proceed with the arbitration on merits without any further delay to protect and adjudicate upon the investments of all members of the Association.

Respondent No. 4.

Advocate for Respondent No. 4